



“ ANY LACK OF CONFIDENCE IN THE ECONOMIC FUTURE OF THE UNITED STATES IS FOOLISH. ”

President Herbert Hoover, in a speech after the stock market crash, November 15 1929

Herbert Hoover being sworn in as US president. His inauguration speech foresaw “the day when poverty will be banished from this nation.”

Street in an apparently endless upward curve—about 30 million Americans had some form of stock market investment. In the prevailing mood, it was easy for the president to view problems in the economic scene—the ruin of small farmers through falling crop prices and poverty-line wages of many urban workers—as temporary problems that could be overcome.

Moviegoing was one boom area of the US economy. **Hollywood** had become the center of film production, and its “Big Five” studios churned out hundreds of movies a year. The **film industry**

Winning movie

The first movie to win the Academy Award for Best Picture was *Wings*, a silent film about World War I fighter pilots, starring actress Clara Bow.



was going through a technological revolution, with the transition from silent to sound movies. It was also becoming intensely conscious of its status and image. The Academy of Motion Picture Arts and Sciences made its **first annual “Oscar”** awards in 1929, awarding Best Picture to the war film *Wings*—the only silent movie to win the accolade.

In Italy, **Benito Mussolini** (1883–1945) Fascist regime achieved a diplomatic triumph in signing the **Lateran Treaty** with Pope Pius XI. Since the unification of Italy in 1871 there had been an unresolved dispute between the Italian state and the papacy, with successive popes regarding themselves as “prisoners” in the Vatican. The Lateran Treaty recognized the **Vatican City** as an **independent state** and acknowledged Catholicism as Italy’s official religion. Unofficially it assured the Fascist regime the support of the Catholic Church.

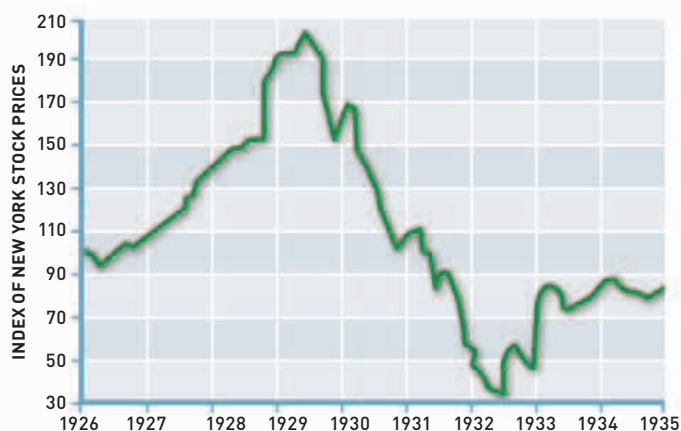
Another attempt was made to draw a line under World War I when the wartime Allies set up a committee, headed by American industrialist Owen Young, to reconsider **German reparations payments**. Accepting that the Dawes Plan (see 1924) had fixed payments too high, the **Young Plan** made proposals for Germany to pay a reduced annual sum until 1988. Although the deal was accepted by the German government, it was denounced by conservative nationalists and by the Nazis. They forced a referendum on reparations, which

they described as “the enslavement of the German people.” Although only 14 percent of voters backed it, the referendum campaign significantly raised Hitler’s political profile in Germany.

The long shadow cast by World War I was also evident in a **wave of antiwar books**. They included American writer Ernest Hemingway’s novel *A Farewell to Arms*, British poet Robert Graves’s (1895–1985) war memoir *Goodbye to All That*, and *All Quiet on the Western Front*, written by German novelist Erich Maria Remarque (1898–1970). Presenting war as a futile waste of human lives, they captured the popular mood of the time.

By far the most important event of the year, however, was the **Wall Street Crash**. In September, the

share rise faltered. By October 23, shares prices were falling, and the following day, “Black Thursday,” the **market dropped** in a stampede of selling. In vain, President Hoover assured the American public that “the fundamental business of the country” was “on a sound and prosperous basis,” but the selling of shares went on, and there were further sharp falls. Speculators who had bought shares on credit were ruined, as were thousands of modest individuals who had entrusted their life savings to the market. Experts spoke of a temporary “market correction,” and Hoover took action to stimulate the economy and create jobs, but the crash was the start of a long-lasting collapse in share prices, and the signal for the start of a **worldwide depression**.



Wall Street index

Share prices on the New York stock exchange experienced a speculative boom in the 1920s, which was followed by an unstoppable collapse.

